EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Abulug lies along the northwestern part of the Province of Cagayan. Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name ""Tulug"" was changed into Abulug including two barangays of Fotol and Capinatan. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Abulug for the year 2022 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Abulug, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase (Decrease)
Financial Position			
Assets	563,302,473.63	501,170,712.86	62,131,760.77
Liabilities	142,132,474.88	126,144,936.37	15,987,538.51
Govt. Equity	421,169,998.75	375,025,776.49	46,144,222.26
Financial Performance			
Income	213,488,759.27	156,635,492.23	56,853,267.04
Expense	174,056,270.11	141,675,136.09	32,381,134.02
Appropriations, Allotments and Obligation			
Appropriations	215,270,152.00	165,186,322.00	50,083,830.00
Allotments	212,450,548.29	163,422,521.05	49,028,027.24
Obligations	193,240,979.61	145,270,817.18	47,970,162.43

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Abulug, Cagayan for the year December 31, 2022 because of the following:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment accounts totaling to P378,217,091.60 as at December 31, 2022 cannot be determined due to: (1) non-conduct of physical count of all items of PPE; (2) non-maintenance of Property Cards for PPE; (3) and non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

2. The accuracy of the Road Networks account totaling P145,507,313.46 as at December 31, 2022 cannot be established due to: (1) failure to conduct verification of the existence of the local road networks; (2) absence of a complete Local Road Network Property Card for all local roads; and (3) lack of disclosure in the Notes to Financial Statements on the road network system, which are contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, the reliability and fair presentation of the account in the financial statements could not be ascertained.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment accounts totaling to P378,217,091.60 as at December 31, 2022 cannot be determined due to: (1) non-conduct of physical count of all items of PPE; (2) non-maintenance of Property Cards for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

   We recommended that the Management:

   a. Thru the Inventory Committee, conduct physical inventory of all items of PPE of the Municipality and submit the Report on the Physical Count of Property, Plant and Equipment, within the prescribed period in accordance with Section 124 (2) of the MNGAS for LGUs, Volume I, for the timely review and verification of the PPE accounts;

b. Update the property records based on the results of physical inventory, and reconcile the same with accounting records to make the records reflective of the actual count of PPEs;

c. Undertake all procedures prescribed under COA Circular No. 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

d. Direct the GSO to maintain Property Cards and the Municipal Accountant to update the PPE Ledger Cards for each item of the PPE pursuant to Section 114, Paragraph 4 of the MNGAS for LGUs, Volume I.

2. The accuracy of the Road Networks account totaling P145,507,313.46 as at December 31, 2022 cannot be established due to: (1) failure to conduct verification of the existence of the local road networks; (2) absence of a complete Local Road Network Property Card for all local roads; and (3) lack of disclosure in the Notes to Financial Statements on the road network system, which are contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, the reliability and fair presentation of the account in the financial statements could not be ascertained.

   We recommended that the Local Chief Executive undertake the following:

   a. Enjoin the Municipal Engineer, General Services Officer and the Municipal Accountant to comply with the accounting and reporting guidelines prescribed under COA Circular No. 2015-008 dated November 23, 2015 to ensure fair presentation of the Road Networks account in the financial statements.

   b. Require the conduct of inventory of the local roads under the LGU's jurisdiction and the reconciliation of the list of inventory per Local Road Inventory Report and Road Map with those recorded in the Road Networks account. Thereafter, the preparation of Local Road Network Report must be observed yearly; and

   c. Direct the Municipal Accountant to provide disclosure regarding the Road Network System in the Notes to Financial Statements using the format prescribed in COA Circular No. 2015-008.

3. The Municipality granted Economic Recovery Assistance to its officials and employees in December 2022 in the amount of P40,000.00 each, or a total amount of P4,360,000.00 and the same was charged against the savings of the Personnel Services, without a corresponding supplemental budget or appropriation ordinance, contrary to Republic Act No. 6758 and Sections 322 & 336 of RA 7160, thus, constitutes an illegal disbursement of government

funds and is disallowed in audit.

We recommended that the Management require the recipients of the Economic Recovery Assistance to refund the amount received of P40,000.00 each or the entire amount of P4,360,000.00 paid out of the municipal funds, otherwise, the same shall be disallowed in audit. We further recommended that the Management pay only those allowances and benefits that are expressly provided in RA 6758 and COA Circular 2013-003 dated January 30, 2013.

4. Procurement of new units of communication equipment costing P638,779.00 by Municipal officials and employees, who were issued with mobile phones in previous years, indicates Management's lapses in the prudent use of limited government funds, which is not in keeping with Section 2 of PD No. 1445. Therefore, the aforementioned procurement is an unnecessary expenditure as defined in Item 4 of COA Circular No. 2012-003 and shall be disallowed in audit.

   We recommended that the Management require the concerned Municipal officials and employees to refund the cost of communication equipment purchased in CY 2022 amounting to P638,779.00, as this is considered an unnecessary expenditure. Moreover, the Management should exercise prudence in the utilization of limited government funds and use them only for expenditures that are supportive in the implementation and attainment of the Municipality's goals and objectives.

5. The Municipality was able to implement 35 out of 40 infrastructure projects programmed under the 20% Development Fund, in which 33 projects were completed and 2 are on-going as of year-end. This is a reflection of a strong commitment of the LGU to bring the benefits of socio-economic development to its constituents.

   We recommended that the Management continue the implementation of the projects funded under the 20% Development Fund and show their commitment in serving the constituents of the Municipality. Further, to ensure timely implementation and completion of the development projects, we strongly suggested that the Management coordinate with the Municipal Planning Development Coordination and Municipal Engineer to carefully plan and schedule each project's implementation. This will pave the way for a more efficient execution of these initiatives.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	457,191.24		32,623.07	424,568.17	7.14%
Current Year	-		-	-	
Total	**457,191.24**		**32,623.07**	**424,568.17**	**7.14%**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the nine (9) audit recommendations embodied in the CY 2021 Annual Audit Report, seven (7) was fully implemented, one (1) was partially implemented and one (1) was not implemented.